JPMorgan and MP Materials

Financing Through 10X Construction

10X is MP’s planned rare-earth magnet plant in Northlake, Texas.
Management expects investment above $1.25bn and commissioning to begin in 2028.

Benjamin Yang
Research draft 0.4 · 6 November 2026
Source cutoff 6 November 2026

S02 Transaction agreement (2025-07-10), §§2.05, 6.01 · S09 Credit agreement (2025-08-25), cover, §1.01
S11 MP 2025 10-K (2026-02-26), Notes 3, 18 · S19 MP Q3 10-Q (2026-11-06), MD&A: 10X

Equity secured cash while MP retained exposure through commissioning

Analyst judgment · comparable industrial sponsor and lender perspective

$724.2m	Net common-equity proceeds received in July 2025, with 7.68% isolated ownership dilution
$203m	Remaining conditional revolver capacity at September 2026, after letters of credit
Contractual support	Defense agreements enter the EBITDA definition and a performance covenant. Actual addback use remains unknown

Assess funding through commissioning using dated cash availability, permitted uses and corporate covenant tests.

The evidence supports financing flexibility. Original loan terms and a remaining-cost schedule are insufficient to rank the capital mix or certify completion funding.

S02 Transaction agreement (2025-07-10), §§6.01, 6.13 · S09 Credit agreement (2025-08-25), §§1.01, 7.11
S11 MP 2025 10-K (2026-02-26), Notes 3, 18 · S19 MP Q3 10-Q (2026-11-06), Note 8, MD&A

Replacement rights connected the closing commitment to later financing

Documented sequence · 2025 · amounts have different financing statuses

9 Jul 2025

Closing commitment

Government agreements and a replaceable joint commitment of at least $1bn

16 Jul 2025

Equity priced at $55

July completion supplied $724.2m net common-equity proceeds

25 Aug 2025

Corporate credit

A $275m revolver was executed; borrowing remains conditional

26 Aug 2025

Undrawn expiration

MP reports the original construction commitment expired undrawn

Sequence schematic; spacing does not represent elapsed time

The commitment served a closing and contingent-funding function. MP reports that replacement financing reduced it until it expired undrawn.

Apple announced a separate agreement on 15 July, before equity pricing. The sequence alone cannot isolate its influence or that of government support.

S02 Transaction agreement (2025-07-10), §§2.05–2.07 · S11 MP 2025 10-K (2026-02-26), Notes 3, 18
S17 Apple 8-K (2025-07-15), Item 8.01 · S09 Credit agreement (2025-08-25), cover

JPMorgan spans the financing stages alongside substantial partner roles

Documented functions · legal entities and initial underwriting obligations

Function	JPMorgan entity / role	Other participants / limit
Advice	J.P. Morgan: sole financial adviser, per its own account	Bank self-description
Construction route	JPMorgan Chase Funding Inc.: joint commitment	Goldman Sachs Bank USA. Individual holds unknown
Equity underwriting	J.P. Morgan Securities LLC: ≈40% of initial shares	Goldman ≈40%, Morgan Stanley ≈20%
Corporate credit	JPMorgan Chase Bank N.A.: agent, lender and L-C issuer	Joint arrangers Goldman/Morgan Stanley. Citi/BofA roles

JPMorgan’s continuing agency role connects the financing stages. Goldman shared the original commitment and the same initial equity allocation.

Initial underwriting obligations establish participation, not retained investment, fee allocation or unique capability.

S01 MP 8-K (2025-07-10), Item 1.01 · S07 Underwriting agreement (2025-07-18), Schedule A
S09 Credit agreement (2025-08-25), cover, signatures · S15 J.P. Morgan account (2025-10-02), bank account

An available equity takeout best explains the observed transition

Ranked explanations · overlapping mechanisms, rather than causal percentages

01	**Flexible commitment, then equity**	Strong: express replacement rights, completed proceeds and issuer-reported lapse
02	**Government support improved financeability**	Direct mechanisms in public capital and credit terms. Equity-demand effect unisolated
03	**Debt-cost or leverage aversion drove the choice**	Plausible. Missing loan pricing, tenor and management rationale prevent confirmation
04	**Expiration signaled bank rejection**	Weak: completed replacement financing fits the disclosed sequence better

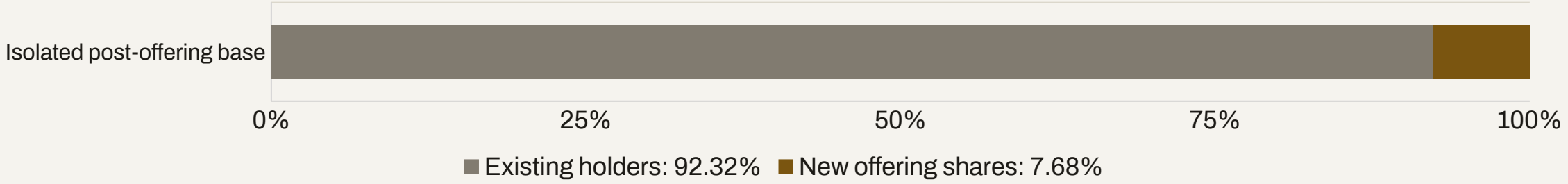
The takeout can be conventional while the combined contractual architecture remains useful to a financing team.

Apple's agreement and the available equity market are credible influences. The record does not establish JPMorgan indispensability or financing optimality.

S02 Transaction agreement (2025-07-10), §2.05 · S11 MP 2025 10-K (2026-02-26), Notes 3, 18
S17 Apple 8-K (2025-07-15), Item 8.01 · S09 Credit agreement (2025-08-25), §1.01

Equity supplied $724.2m at 7.68% isolated ownership dilution

SMPT calculation · July-9 basic share base plus the completed offering only



Measure	Controlling calculation / meaning
Existing basic shares	163,477,816
New common shares	13,590,908

Increase in old share base: 8.31%

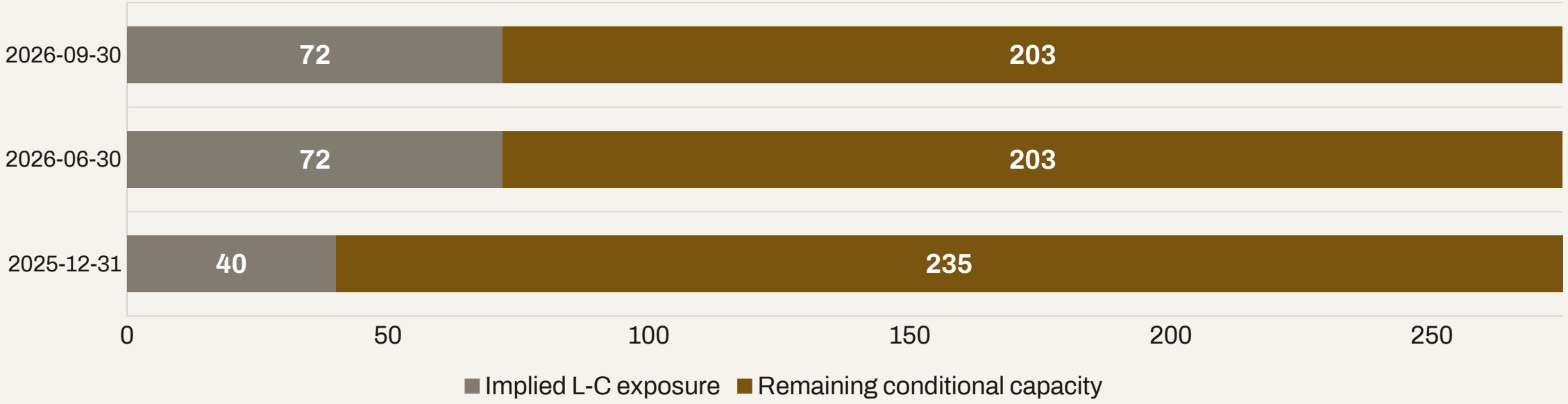
Equity avoids scheduled principal and coupon payments while transferring residual ownership. Unknown original loan terms prevent a lifetime financing-cost ranking.

Excludes preferred conversion, warrants, other issuances, options and convertibles. The 3% underwriting discount is a one-time transaction cost, not the cost of equity.

S06 Equity prospectus (2025-07-18), The Offering, S-7 · S07 Underwriting agreement (2025-07-18), Schedule A
S11 MP 2025 10-K (2026-02-26), Notes 3, 18

Letters of credit leave $203m of the $275m revolver available

Reported snapshots and SMPT decomposition · USD million · zero loan draws



Letters of credit consume facility capacity without supplying construction cash. Future borrowing remains subject to the credit agreement.

The $200m L-C sublimit sits inside the $275m facility. MP reported compliance at 30 September 2026. This is capacity, separate from cash on hand.

S11 MP 2025 10-K (2026-02-26), Note 10 · S13 MP Q2 10-Q (2026-08-07), Note 8
S19 MP Q3 10-Q (2026-11-06), Note 8

Defense contracts enter both covenant earnings and performance obligations

Executed corporate credit agreement · mechanism plus hypothetical USD-million illustration

Credit provision	Financial meaning
EBITDA adjustment	Applicable Test-Period minimums / guaranteed revenues / fixed-price amounts less attributable net income, floored at zero
Certificate and later cash	Borrower supplies the estimate. Later cash duplicating a prior addback is subtracted
Performance covenant	MP must perform Defense agreements, subject to a Material Adverse Effect exception
New extensions	Specified representations and absence of Default condition new credit extensions

Hypothetical clause arithmetic: max($40m applicable amount – $20m attributable income, 0) = $20m addback

Contractual earnings recognition can precede collection. The certificate calculation and the underlying contract performance both deserve diligence.

Actual adjustment use and headroom are unknown. Future 10X amounts require applicable entitlement. No existing default or automatic loss of availability is inferred.

S09 Credit agreement (2025-08-25), §1.01(a)(xiv), §§4.02, 6.16

Corporate earnings tests can precede expected 10X commissioning

Contractual timing scenario · calendar-year bounds for management's expectation

Before the trigger

At least $500m unrestricted contractual cash / Cash Equivalents

Trigger: earlier delivery of either

A certificate showing ≥$400m covenant EBITDA over four quarters

Required Q2 2027 financial statements

Illustrative delivery: 15 Aug 2027

First quarter ending after delivery: 30 Sep 2027

Management expectation: 2028

From the earnings-test stage

Leverage ≤4.00× and cash-interest coverage ≥3.00×, subject to terms

10X begins commissioning, distinct from the commercial operation date (COD)

Treasury and lenders need a corporate earnings and eligible-liquidity case during construction, before assuming 10X operating receipts contribute.

The delivery date is assumed, not a legal deadline. The 93–458 days compare year endpoints, not forecast COD dates. Reported Adjusted EBITDA is distinct from covenant EBITDA.

S09 Credit agreement (2025-08-25), §1.01 trigger, §§6.01(b), 7.11 · S19 MP Q3 10-Q (2026-11-06), MD&A: 10X

Government support covers specified exposures while MP retains funding duties

Contract and reported cash distinctions · each instrument assessed separately

Instrument	Risk addressed	Exposure or condition retained
NdPr price protection	Eligible benchmark shortfall	Designation, quantity, costs and collection timing
10X offtake	Qualifying output / defined support	Construction, specifications, future appropriations and payment timing
$400m initial preferred	Received public equity capital	7% cumulative preference and potential dilution
Additional preferred fallback	Shortfall below $350m incremental net financing	Conditional purchase mechanics. July equity exceeded threshold

MP must use reasonable best efforts to raise additional capital if enumerated funding is insufficient. Timing obligations are qualified, and the parent guarantee runs to DoD.

NdPr = neodymium-praseodymium. Specified-use rules constrain flexibility. The separate $150m samarium loan is repayable; no extra backstop cash is counted.

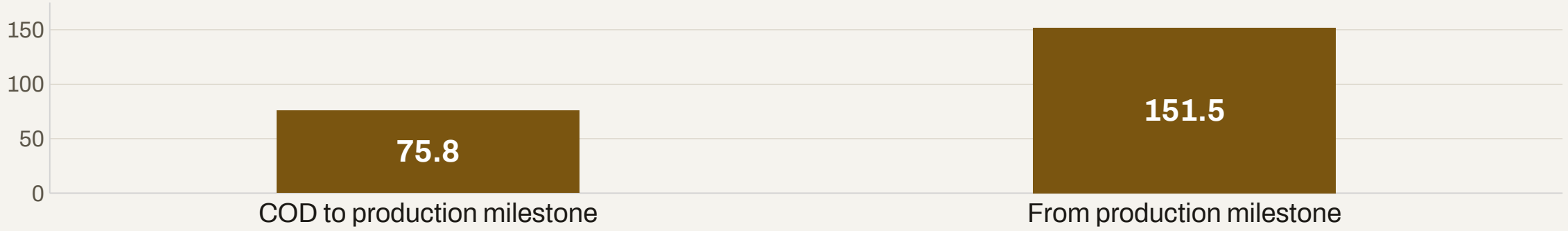
S02 Transaction agreement (2025-07-10), §§6.01, 6.04(d), 6.09, 6.13 · S03 10X offtake (2025-07-10), §§6.1–6.9
S04 NdPr PPA (2025-07-10), §§2–3 · S11 MP 2025 10-K (2026-02-26), Note 3

10X threshold protection changes with contractual operating status

Hypothetical full-year CY2029 threshold definition · USD million · 50% capacity illustration

Before commercial operation

Operating threshold withheld



50% annual capacity estimate / target · Full amount: $140m × 1.02^4

COD requires operations capable of any magnet output and notice to DoD. The production milestone is the quarter-end of written notice of annual target-capacity capability.

The target is ≥10,000 tons block-equivalent, typically ≥7,000 tons finished magnets. Full-year thresholds exclude payment stubs/true-up and are distinct from cash and covenant EBITDA. Legal term: signing to ten years after COD.

S03 10X offtake (2025-07-10), §§1.2, 2.1, 6.2

Price protection delivered $110.9m of cash in the first nine months of 2026

Reported receipts and SMPT receivable reconciliation · USD million

51.016 + 67.962 – 8.109 = 110.869

Opening price-protection receivable + nine-month income – closing receivable = implied receipts

Other support evidence at 30 Sep 2026	Amount / status
Section 45X tax-credit cash receipts	$19m received during nine months
10X reimbursable-cost receivable	$2.506m accrued
Texas manufacturing reimbursement ceiling	Up to $53.5m
Texas manufacturing award receivable	$10.075m noncash

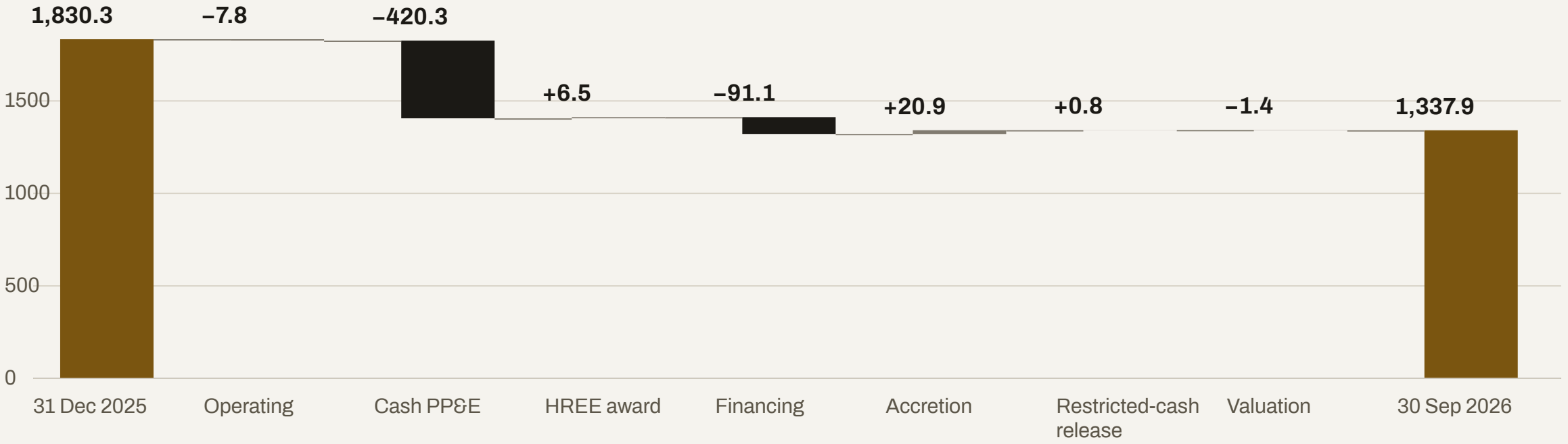
Payment evidence matters independently of accounting income, receivables and award ceilings. Reported receipts are already included in operating cash flow.

The rollforward matches rounded receipts of $110.9m. The separate $6.5m heavy-rare-earth (HREE) construction-award cash belongs in the company bridge.

S19 MP Q3 10-Q (2026-11-06), Notes 9, 13, 15, 21; MD&A Cash Flows

Company liquid assets fell $492.4m as expansion continued

Historical cash plus short-term investments · USD million · nine months to 30 Sep 2026



Cash capital spending accounted for most of the decline in company liquid assets. Assessing remaining 10X funding requires a project-specific spending and collection schedule.

All seven components reconcile at unrounded precision. PPA receipts are inside operating cash flow. Company liquid assets are not free 10X cash or certified covenant liquidity.

S19 MP Q3 10-Q (2026-11-06), cash flows, balance sheets, Note 4 · S11 MP 2025 10-K (2026-02-26), restricted cash

A dated funding and covenant schedule is the next decision input

Analyst recommendations · comparable sponsor is primary audience

01	**Substitute funding / treasury**	Confirm settled proceeds, permitted uses and live credit conditions before cancellation. Unfunded replacement requires another committed route
02	**Fund through commissioning / CFO and lenders**	Reconcile cash, L-Cs, spend, collections and certificates by date. A projected shortfall calls for earlier financing, revised spend or amendment
03	**Assess public support / credit team**	Test entitlement and performance separately from EBITDA recognition. Delayed collection or a material contract issue requires reassessment

The record supports the financing architecture and a diligence sequence. Missing loan terms leave the optimal capital mix open.

DoD has contractual cost-to-complete and funding-information rights. Those reports are absent from the public packet. No actual shortfall or automatic default is asserted.

S02 Transaction agreement (2025-07-10), §§2.05, 6.04(c), 6.13, 7.01(e) · S09 Credit agreement (2025-08-25), §§4.02, 6.16, 7.11

Evidence supports the architecture and bounds the financial conclusions

Research cutoff: 6 November 2026 · model 1.0 · agent-assisted independent SMPT analysis

Evidence gap	Consequence for this publication
Original commitment / fee letter	No debt-versus-equity optimality or exact $0.8m cancellation reconciliation
Actual compliance certificates	No demonstrated addback use or actual headroom
Remaining project spend and collections	No completion-funding certification, runway or project debt-service forecast
Bank individual holds and internal decisions	No bank profitability, sole-design or indispensability claim

The model separates facts, calculations and scenarios. Human financial and publication review remains pending.

Working model 1.0 (XLSX) · Claim ledger · Original-source register

No affiliation or endorsement by JPMorgan, MP Materials or the U.S. government. Research links, calculations and model provenance accompany this draft.

S02 Transaction agreement (2025-07-10), transaction agreement · S09 Credit agreement (2025-08-25), credit agreement
S11 MP 2025 10-K (2026-02-26), 2025 10-K · S19 MP Q3 10-Q (2026-11-06), Q3 2026 10-Q